Introduction to Tally

Tally is an accounting software used to record, manage, and analyze financial transactions of a business.
It helps businesses maintain:

- Accounts (income & expenses)
- Inventory (stock management)
- Tax calculations (GST, etc.)

👉 **Developed by Tally Solutions Pvt Ltd, India**

Short History of Tally

1986 → First version of Tally launched
Developed in India
Popular version: **Tally ERP 9**
Latest version: **Tally Prime**

Why Do We Use Tally?

Tally is used to **simplify accounting work** and reduce manual effort.

Main Reasons:

- Manual accounting is time-consuming
- Chances of errors are high
- Difficult to manage large data

Note: 👉 Tally solves all these problems by **automation**

Key Features of Tally

- ❑ Easy to use interface
- ❑ Fast data entry
- ❑ Automatic calculations
- ❑ GST support
- ❑ Inventory management
- ❑ Report generation (Profit & Loss, Balance Sheet)

Tally is widely used in different sectors:

- ❑ Small & Medium Businesses (SMEs)
- ❑ Retail Shops
- ❑ Chartered Accountant Offices
- ❑ Manufacturing Companies
- ❑ Service-based Companies

Pros and Cons of Tally

Pros:

- User-friendly
- Reliable and accurate
- Widely used in India
- Supports GST

Cons:

- Paid software
- Requires basic accounting knowledge
- Limited customization compared to advanced ERP systems

What is Debit and Credit in Tally?

Basic Meaning

•**Debit (Dr)** → "Value comes in" or **increase in assets/expenses**

•**Credit (Cr)** → "Value goes out" or **increase in liabilities/income**

👉 In Tally, every transaction follows **double-entry system**:
Every Debit has a corresponding Credit

Practice Questions

1. Mr. Sharma purchased a laptop in cash ₹22,000.
2. Mr. Sharma purchased an office desk ₹6,000 and office chair ₹3,500 in cash.
3. Mr. Sharma opened a bank account in HDFC Bank by depositing cash ₹40,000.
4. Mr. Sharma purchased stationery items in cash ₹3,200.
5. Mr. Sharma purchased a printer ₹8,000 from Gupta Traders on credit.
6. Mr. Sharma paid cash ₹8,000 to Gupta Traders.

1. Purchased laptop for cash ₹22,000

Laptop (Asset ↑) → Debit
Cash ↓ → Credit
Laptop A/c Dr 22,000
To Cash A/c 22,000

2. Purchased desk & chair ₹9,500

(6000 + 3500)
Furniture (Asset ↑) → Debit
Cash ↓ → Credit
Furniture A/c Dr 9,500
To Cash A/c 9,500

3. Deposited cash into bank ₹40,000

Bank (Asset ↑) → Debit
Cash ↓ → Credit
Bank A/c Dr 40,000
To Cash A/c 40,000

4. Purchased stationery ₹3,200

Stationery (Expense) → Debit
Cash ↓ → Credit
Stationery A/c Dr 3,200
To Cash A/c 3,200

5. Purchased printer on credit ₹8,000

Printer (Asset ↑) → Debit
Gupta Traders (Creditor ↑) → Credit
Printer A/c Dr 8,000
To Gupta Traders A/c 8,000

6. Paid cash to Gupta Traders ₹8,000

Gupta Traders (Liability ↓) → Debit
Cash ↓ → Credit
Gupta Traders A/c Dr 8,000
To Cash A/c 8,000

GOLDEN RULES OF ACCOUNTING

TYPE	RULE FOR DEBIT	RULE FOR CREDIT
Personal Account	Debit the receiver	Credit the giver
Real Account	Debit what comes in	Credit what goes out
Nominal Account	Debit all expenses and losses	Credit all incomes and gains

1 Real Account (Assets)

Represents assets (things owned by business)
Examples:

- Cash
- Bank
- Furniture
- Computer

Rule: Debit what comes in, Credit what goes out

2 Personal Account

Represents person, company, or organization
Examples:

- Ram
- Gupta Traders
- Bank (as institution)

Rule: Debit the receiver, Credit the giver

3 Nominal Account
Represents expenses, losses, income, gains

Examples:

- Salary
- Rent
- Commission
- Interest

Rule:

Debit all expenses and losses, Credit all incomes and gains

Practice Questions

Q1. Mohan Purchased furniture for cash ₹12,000
Q2. Mohan Paid salary ₹6,000
Q3. Mohan Received commission ₹2,500
Q4. Mohan Purchased goods from Raj Traders on credit ₹9,000
Q5. Mohan Paid cash to Raj Traders ₹9,000
Q6. Mohan Paid rent ₹4,000 in cash
Q7. Mohan Received cash from Mohan ₹7,000
Q8. Mohan Purchased computer on credit from Star Computers ₹25,000
Q9. Mohan Paid electricity bill ₹2,200
Q10. Mohan Received interest ₹1,500 in bank

Q1 Solution
Furniture → Real Account (Asset)
Cash → Real Account

Entry:

Furniture A/c Dr 12,000
To Cash A/c 12,000

Q2 Solution
Salary → Nominal Account (Expense)
Cash → Real Account

👉 Entry:

Salary A/c Dr 6,000
To Cash A/c 6,000

Q3 Solution
Cash → Real Account
Commission → Nominal Account (Income)

Entry:

Cash A/c Dr 2,500
To Commission A/c 2,500

Q4 Solution

Purchases → Nominal Account
Raj Traders → Personal Account

Entry:

Purchases A/c Dr 9,000
To Raj Traders A/c 9,000

Q5 Solution

Raj Traders → Personal Account
Cash → Real Account

Entry:

Raj Traders A/c Dr 9,000
To Cash A/c 9,000

Q6 Solution

Rent → Nominal Account (Expense)
Cash → Real Account

Entry:

Rent A/c Dr 4,000
  To Cash A/c 4,000

Q7 Solution

Cash → Real Account
Mohan → Personal Account

Entry:

Cash A/c Dr 7,000
  To Mohan A/c 7,000

Q8 Solution
Computer → Real Account (Asset)
Star Computers → Personal Account

👉 Entry:

Computer A/c Dr 25,000
  To Star Computers A/c 25,000

Q9 Solution

Electricity → Nominal Account (Expense)
Cash → Real Account

Entry:

Electricity A/c Dr 2,200
  To Cash A/c 2,200

Q10 Solution

Bank → Real Account
Interest → Nominal Account (Income)

Entry:

Bank A/c Dr 1,500
  To Interest A/c 1,500

3 Types of Organization in Tally

1. Service Organization
Provides **services**, not physical goods

Examples:
Coaching institute
IT company
Consultancy services
Repair services

Features:
No inventory (stock)
Income comes from services
Simple accounting

In Tally:
Focus on **income & expenses**
No need for stock management

2. Trading Organization
Buys and sells **finished goods**

Examples:
Retail shop
Wholesale business
E-commerce seller

Features:
Has inventory (stock)
Profit = Selling Price – Purchase Price
No production process

In Tally:
Use **Purchase & Sales entries**
Maintain **stock/inventory**

3. Manufacturing Organization
Produces goods using **raw materials**

Examples:
Factory
Food production unit
Garment manufacturing

Features:
Converts raw material → finished goods
Includes production process
Complex accounting

In Tally:
Use **Stock + Manufacturing entries**
Maintain:

- ✓ Raw Material
- ✓ Work in Progress
- ✓ Finished Goods

Pre-defined Groups in Tally (Primary Groups)

1. Capital Account

Owner's investment in the business.
(Example: Owner's capital, drawings)

2. Loans (Liabilities)

Borrowed funds that must be repaid.
(Example: Bank loan, unsecured loan)

3. Current Liabilities

Short-term obligations payable within a year.
(Example: Creditors, bills payable)

4. Fixed Assets

Long-term assets used in business.
(Example: Building, machinery, furniture)

5. Investment

Money invested to earn income.
(Example: Shares, mutual funds)

6. Current Assets

Short-term assets easily converted into cash.
(Example: Cash, bank, stock, debtors)

📊 7. Miscellaneous Expenses (Assets)

👉 Expenses not written off completely.
(Example: Preliminary expenses)

⚖️ 8. Suspense Account

👉 Temporary account for unknown transactions.
(Used until error is identified)

🏢 9. Branch / Division

👉 Accounts of different branches of a business.

💵 10. Sales Account

👉 Income from sale of goods/services.

🛒 11. Purchase Account

👉 Cost of buying goods for business.

📥 12. Direct Income

👉 Income directly related to business activity.
(Example: Service income)

📤 13. Direct Expenses

👉 Expenses directly related to production.
(Example: Wages, carriage)

📥 14. Indirect Income

👉 Income not directly related to main business.
(Example: Interest received)

📤 15. Indirect Expenses

👉 General business expenses.

(Example: Salary, rent, electricity

Secondary Groups in Tally

1. Reserve & Surplus (Capital Account)

Profits kept in business for future use.
(Example: General reserve)

2. Bank Overdraft (Loans Liabilities)

Amount withdrawn from bank more than balance.

3. Secured Loans (Loans Liabilities)

Loans taken against security.
(Example: Loan against property)

4. Unsecured Loans (Loans Liabilities)

Loans taken without security.

5. Duties & Taxes (Current Liabilities)

Taxes payable to government.
(Example: GST, VAT)

6. Provision (Current Liabilities)

Amount set aside for future expenses/losses.

7. Sundry Creditors (Current Liabilities)

Persons to whom business owes money.

8. Sundry Debtors (Current Assets)

Persons who owe money to business.

9. Deposit Assets (Current Assets)

Deposits made by business.
(Example: Security deposit)

10. Loans & Advances (Assets) (Current Assets)

Money given to others as loan or advance.

11. Cash in Hand (Current Assets)

Physical cash available with business.

12. Stock in Hand (Current Assets)

Goods available for sale (inventory).

13. Bank Account (Current Assets)

Money deposited in bank account.

What is a Voucher in Tally?

In Tally, a Voucher is a document used to record financial transactions.

👉 Every transaction (payment, receipt, sale, purchase) is entered using vouchers.

Types of Vouchers in Tally

👉 There are mainly two types:

Common Vouchers (used daily)
Special Vouchers (used for special purposes)

Common Vouchers

👉 These are the most important vouchers used in daily accounting.

💸 1. Contra Voucher (F4)

👉 Used for cash and bank transactions within business

Examples:

Cash deposited into bank
Cash withdrawn from bank

💵 2. Payment Voucher (F5)

👉 Used when money is paid

Examples:

Salary paid
Rent paid
Electricity bill paid

💰 3. Receipt Voucher (F6)

👉 Used when money is received

Examples:

Cash received from customer
Income received

💰 4. Journal Voucher (F7)

👉 Used for adjustments and non-cash transactions

Examples:

Depreciation
Outstanding expenses
Transfer entries

🛒 **5. Purchase Voucher (F9)**

👉 Used when goods are purchased

Examples:

Buying goods for business

💼 **6. Sales Voucher (F8)**

👉 Used when goods are sold

Examples:

Selling goods to customers

🔻 **7. Debit Note (Ctrl + F9)**

👉 Used when purchase return happens

Example:

Goods returned to supplier

🔺 **8. Credit Note (Ctrl + F8)**

👉 Used when sales return happens

Example:

Customer returns goods

Practice Question Debit, Credit, Ledger, Under, Voucher

1. Mr. Rohit started Universal Business Solutions by bringing in cash of ₹3,00,000.
2. Mr. Rohit purchased a computer in cash ₹18,000.
3. Mr. Rohit purchased an office table ₹3,500 and office chair ₹4,000 in cash.
4. Mr. Rohit opened a bank account in HDFC Bank by depositing cash ₹50,000.
5. Mr. Rohit purchased stationery items in cash ₹2,000.
6. Mr. Rohit purchased a mobile phone ₹5,000 from Raj Telecom on credit.
7. Mr. Rohit withdrew ₹10,000 from HDFC Bank.
8. Mr. Rohit paid cash ₹5,000 to Raj Telecom.
9. Mr. Rohit received a bill of ₹4,500 from Sukun Offset for printing office stationery.
10. Mr. Rohit paid ₹2,800 by cheque towards office rent.
11. Mr. Rohit paid ₹700 in cash towards electricity charges.
12. Mr. Rohit issued a cheque of ₹4,500 to Sukun Offset.
13. Mr. Rohit withdrew ₹4,000 from HDFC Bank for personal use.

1. Started business with cash ₹3,00,000
Cash A/c → Debit (Current Asset)
Capital A/c → Credit (Capital Account)
Voucher → Journal (F7)
Cash A/c Dr 3,00,000
  To Capital A/c 3,00,000

2. Purchased computer in cash ₹18,000

Computer A/c → Debit (Fixed Asset)
Cash A/c → Credit (Current Asset)
Voucher → Payment (F5)
Computer A/c Dr 18,000
  To Cash A/c 18,000

3. Purchased table & chair ₹7,500
Furniture A/c → Debit (Fixed Asset)
Cash A/c → Credit
Voucher → Payment (F5)
Furniture A/c Dr 7,500
  To Cash A/c 7,500

4. Deposited cash into bank ₹50,000
Bank A/c → Debit (Bank Account)
Cash A/c → Credit
Voucher → Contra (F4)
Bank A/c Dr 50,000
  To Cash A/c 50,000

5. Purchased stationery ₹2,000
Stationery A/c → Debit (Indirect Expenses)
Cash A/c → Credit
Voucher → Payment (F5)
Stationery A/c Dr 2,000
  To Cash A/c 2,000

6. Purchased mobile on credit ₹5,000
Mobile A/c → Debit (Fixed Asset)
Raj Telecom A/c → Credit (Sundry Creditors)
Voucher → Purchase (F9)
Mobile A/c Dr 5,000
  To Raj Telecom A/c 5,000

7. Withdraw cash from bank ₹10,000
Cash A/c → Debit
Bank A/c → Credit
Voucher → Contra (F4)
Cash A/c Dr 10,000
  To Bank A/c 10,000

8. Paid cash to Raj Telecom ₹5,000
Raj Telecom A/c → Debit (Sundry Creditors)
Cash A/c → Credit
Voucher → Payment (F5)
Raj Telecom A/c Dr 5,000
  To Cash A/c 5,000

9. Received bill from Sukun Offset ₹4,500

Printing/Stationery A/c → Debit (Indirect Expenses)
Sukun Offset A/c → Credit (Sundry Creditors)
Voucher → Purchase (F9) / Journal (F7)
Printing A/c Dr 4,500
  To Sukun Offset A/c 4,500

10. Paid rent by cheque ₹2,800

Rent A/c → Debit (Indirect Expenses)
Bank A/c → Credit
Voucher → Payment (F5)
Rent A/c Dr 2,800
  To Bank A/c 2,800

11. Paid electricity ₹700
Electricity A/c → Debit (Indirect Expenses)
Cash A/c → Credit
Voucher → Payment (F5)
Electricity A/c Dr 700
  To Cash A/c 700

12. Issued cheque to Sukun Offset ₹4,500
Sukun Offset A/c → Debit (Sundry Creditors)
Bank A/c → Credit
Voucher → Payment (F5)
Sukun Offset A/c Dr 4,500
  To Bank A/c 4,500

13. Withdraw for personal use ₹4,000
Drawings A/c → Debit (Capital Account)
Bank A/c → Credit
Voucher → Payment (F5)
Drawings A/c Dr 4,000
  To Bank A/c 4,000